EVALUATING CAPITAL STRUCTURE

When investors consider buying shares in a company, they look at its capital structure to assess the future prospects of the business. The capital structure refers to the percentage of a company's finances made up of funds from shares and earnings, called equity, and the percentage made up from borrowed funds, or debt. When evaluating capital structure, investors consider the following:

- As a general rule, companies with more equity than debt are considered less risky to invest in because their assets outweigh their liabilities. So a company with significantly more equity than debt has a low debt-to-equity ratio and is generally seen to be a low-risk investment.
- A company with significantly more debt than equity has a high debt-to-equity ratio and is more risky as an investment.
- Debt is not always bad. If interest rates are low a company could take on more debt to fund expansion, as long as the revenue it makes from the borrowed funds is greater than the interest payable. So although this company may be more risky, it may also have greater potential for growth—this is known as "gearing." *See pp.174–175.*.